Managing Cultures
(Chapter 5 in textbook)

Trimester 2.2025

What Comprises Culture?

- **Culture:** the totality of everyday knowledge that people habitually use to make sense of the world around them through
  - patterns of shared meanings
  - understandings communicated through language

Hofstede's Cultural Dimensions

- Geert Hofstede
- How basic values underlie organizational behavior
- 116,000 respondents, 70 countries
- IBM company

Hofstede's Cultural Dimensions

1. Power distance
2. Uncertainty avoidance
3. Individualism
4. Motivation towards achievement and success (Masculinity and Femininity)
5. Long-term orientation
6. Indulgence

Power Distance

Extent to which less powerful members accept that power is distributed unequally

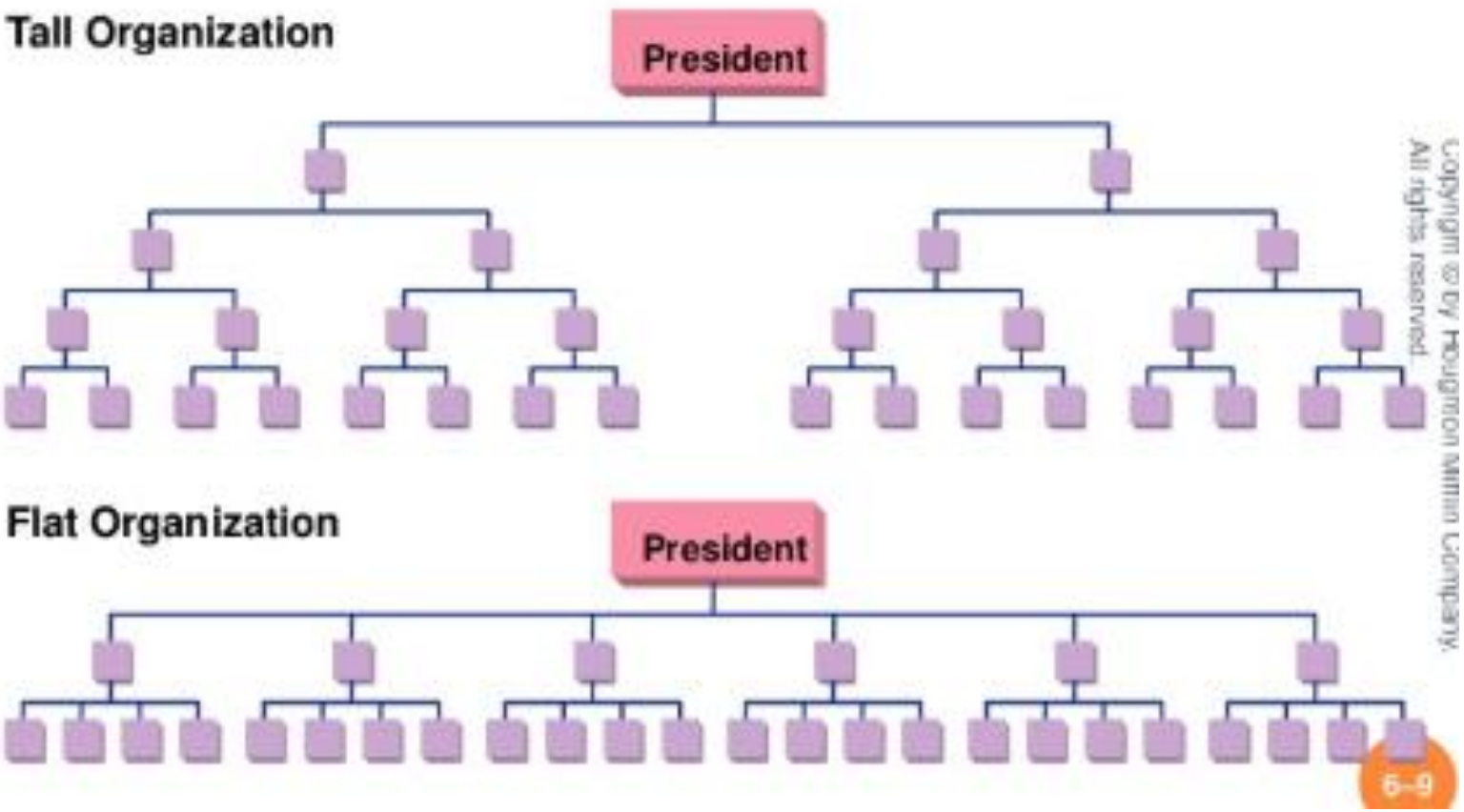
High power distance

- People blindly obey superiors
- Centralized with tall org. structures
- Use of titles, relations

Low power distance

- Have smaller ratio of supervisor to employee
- Decentralized with flatter org. structures

Power Distance



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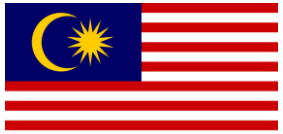
Power Distance (Example)

Malaysia 

During a meeting, the Malaysian team waits for the senior manager, Mr. Rahman, to speak first.

When he shares his idea, the team members nod in agreement. Even if some have doubts, they remain quiet out of respect.

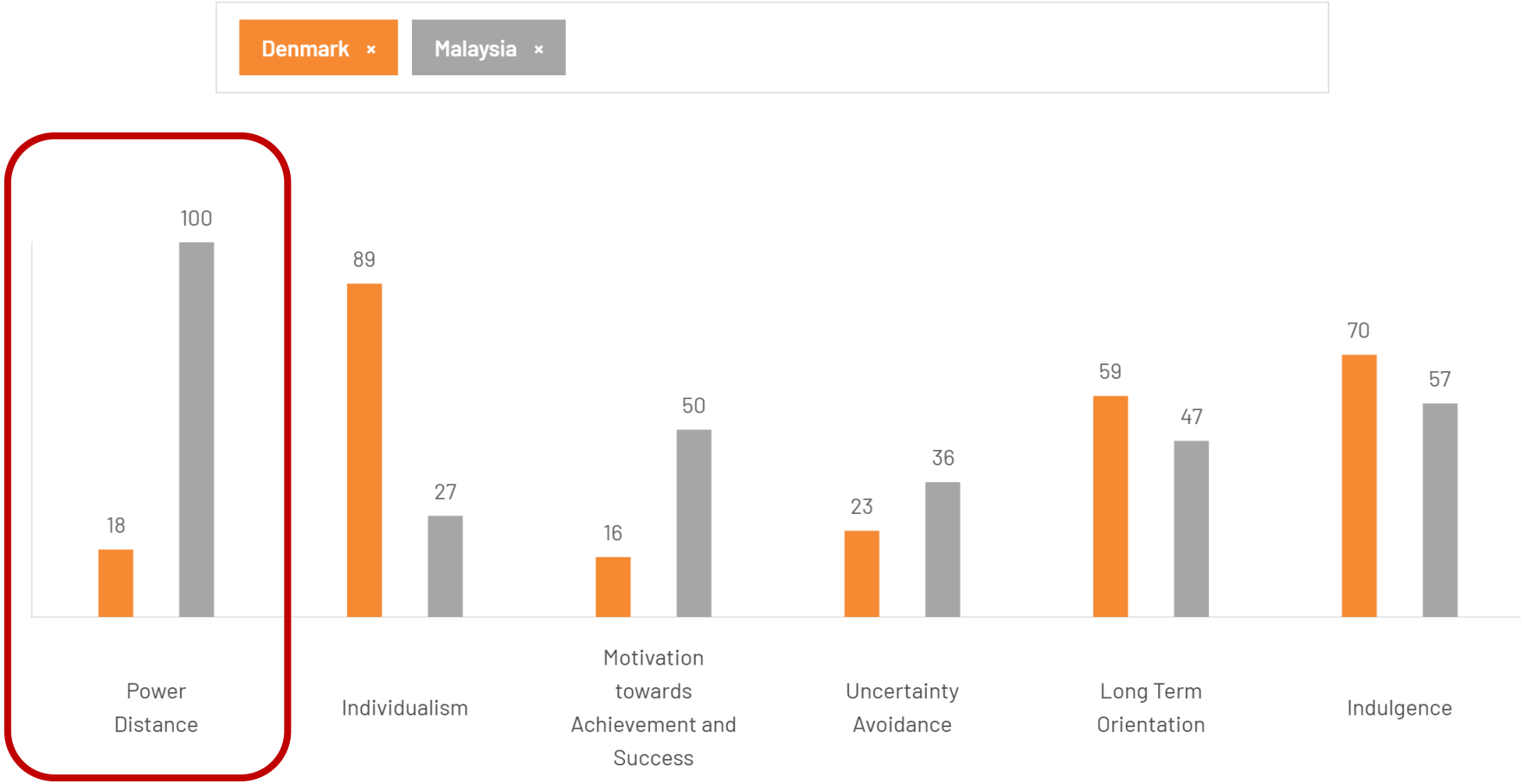
Later, one junior member privately tells a colleague, “I think there might be a problem with the plan, but I can’t contradict the boss in front of everyone.”

Denmark

At the Danish office, the manager, Lars, opens the meeting by saying, “I’d like everyone’s input. Let’s decide together.”

A junior employee immediately raises a concern and proposes a different approach. Lars listens carefully and says, “Good point. Let’s test your idea.” The hierarchy exists, but everyone feels comfortable challenging or contributing ideas.

Power Distance



Source: theculturefactor.com

Uncertainty Avoidance

Extent to which people feel threatened by ambiguous situations and have created beliefs and institutions that try to avoid these

High uncertainty avoidance

- High need for security and strong belief in experts and their knowledge
- Highly structured org. activities, more written rules, less managerial risk taking

Low uncertainty avoidance

- Less structured org. activities, fewer written rules, more managerial risk taking
- New ideas, untested solutions, experimentation

Uncertainty Avoidance (Example)

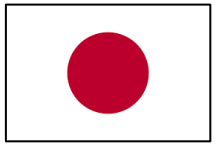
USA

At BrightPath Tech, a team brainstorms a new mobile app feature.

Jordan (Manager): *That's a bold idea, Sam. Let's build a quick prototype and see how users react.*

Sam (Developer): *We don't have all the data yet.*

Jordan: *That's okay. We'll figure it out as we go. Innovation means taking smart risks.*

Japan 

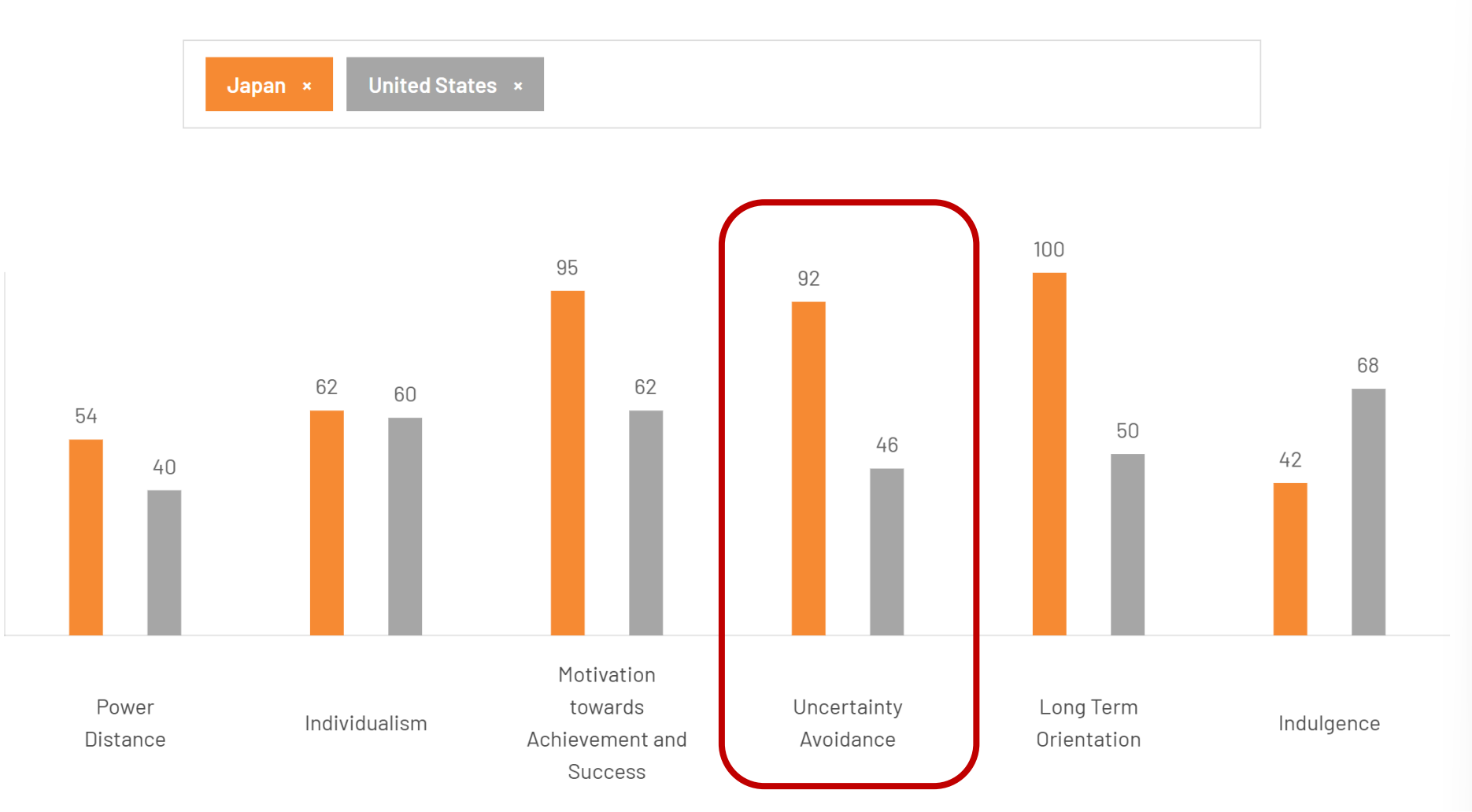
At Nippo Electronics, a team is considering introducing a new type of smart home device.

Scene:
When Aiko suggests using a brand-new AI algorithm still under testing, her manager, Mr. Tanaka, frowns slightly.

Mr. Tanaka: *That sounds promising, but we should wait until it's been fully verified. Let's collect more data and consult with the R&D committee first.*

Aiko: *Of course, sir. I'll prepare a detailed risk assessment before we proceed.*

Uncertainty Avoidance



Source: theculturefactor.com

Individualism

- **Individualism:** tendency of people to look after **themselves** and **immediate family** only
- **Collectivism:** tendency of people to belong to **groups** and to look after each other in exchange for loyalty

Individualism (Example)

China

At DragonTech Electronics, the team just completed a major project. The manager, Ms. Zhang, is preparing for the evaluation meeting.

Scene:
Ms. Zhang: *The client was pleased with our results. I'd like to thank everyone. It was a team success.*

Wei: *It was really a group effort. I couldn't have done my part without Lili's help.*

Ms. Zhang: *That's the spirit. When we work together, everyone benefits.*

Australia

At NextWave Solutions, a project has just been completed. The manager, Ben, conducts individual performance reviews.

Scene:
Ben: *Sarah, your client presentation was outstanding. It really set us apart. You'll get a performance bonus for your leadership.*

Sarah: *Thanks, Ben. I'm already thinking about how to improve it next time.*

Individualism

Source: theculturefactor.com

Motivation Towards Achievement and Success (Masculinity and Femininity)

- **High (also masculine):** dominant social values are **success**, **money**, and **quantity of life**
- **Low (also feminine):** dominant social values are **caring** for others and **quality of life**

Motivation Towards Achievement and Success (Example)

Germany

At TechPro Engineering GmbH in Munich, the team is discussing quarterly performance results.

Scene:
Stefan (Manager): *Our competitors have increased their output by 8%. We need to beat that next quarter. Let's focus on improving efficiency and setting measurable targets.*

Klara: *Should we also discuss how the team's been coping with the longer hours?*

Stefan: *We can handle that later. Right now, results come first. High performance is what keeps us ahead.*

Sweden

At NordCare AB in Stockholm, the same discussion takes place after quarterly results.

Scene:
Erik (Manager): *We met our targets, but how's everyone feeling about the workload?*

Sofia: *Some of us are tired. Maybe we can balance tasks more evenly next month.*

Erik: *Good idea. Let's make sure no one burns out. Team harmony matters as much as performance.*

Motivation Towards Achievement and Success

Source: theculturefactor.com

Long-term Orientation

Long-term orientation	Short-term orientation
▪ Focus on the future & on achieving long-term results ▪ Able to adapt traditions when conditions change ▪ Tend to save and invest	▪ Focus on quick results ▪ Do not tend to save ▪ Value stability and leisure

Long-term Orientation (Example)

Nigeria

At GreenHarvest Foods in Lagos, the management team meets to discuss whether to invest in a new organic farming program that would take five years to yield profits.

Scene:
Mr. Ade (CEO): *Five years is a long time. We need results that will strengthen our position this year.*

Tunde (Operations Manager): *But the long-term plan could make us more sustainable and reduce costs in the future.*

Mr. Ade: *That's true, but our investors expect quick returns. Let's focus on increasing production now. We can revisit the long-term project after the next harvest.*

South Korea

At HanTech Electronics in Seoul, the leadership team discusses investment in a new product line that may not generate profits for several years.

Scene:
Mr. Park (Director): *We must be patient. Long-term stability is more important than quick gains.*

Ji-woo: *Agreed. If we invest now in R&D, we'll secure our future position in the global market.*

Mr. Park: *Exactly. Success comes from perseverance and steady improvement.*

Long-term Orientation

Source: theculturefactor.com

Indulgence

- **Indulgent:** encourage instant gratification of natural human needs
  - perceived happiness, life in control, positive emotions, and satisfaction of basic needs
- **Restrained:** regulate and control behavior based on social norms
  - less happiness, sense of helplessness, less likely to remember positive emotions, and unmet basic needs

Indulgence (Example)

Russia

At VolnaTech Engineering in Moscow, the team has just completed a major project successfully.

Scene:
Ivan (Manager): *Good job, everyone. Let's move on to preparing next quarter's report.*

Olga: *Should we celebrate the project launch?*

Ivan: *Perhaps later. There's still much work ahead. We can't lose momentum.*

Brazil

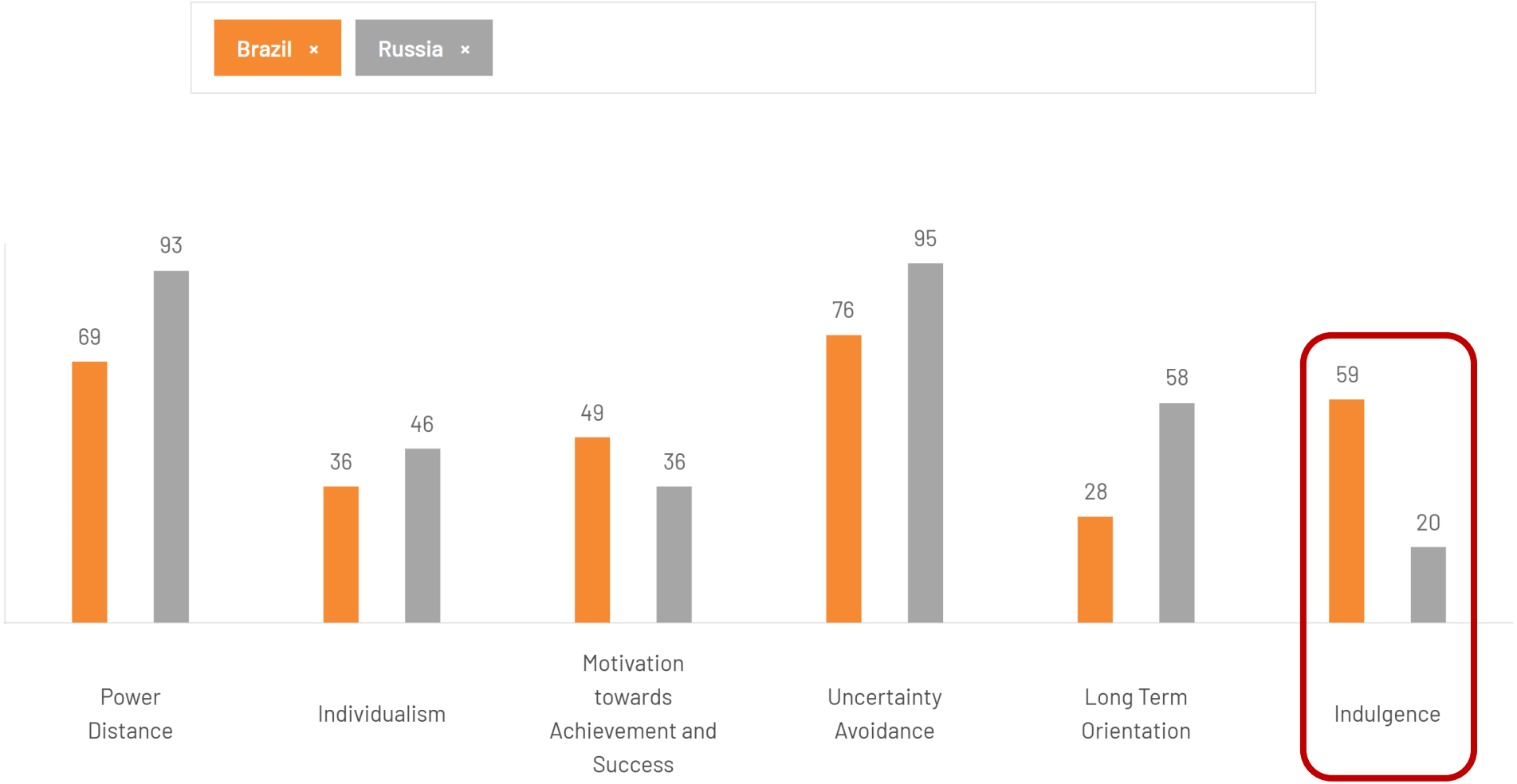
At SolViva Marketing in São Paulo, the team has just completed a successful product campaign.

Scene:
Carla (Manager): *We did it, team! Let's celebrate. Lunch is on me!"*

Rafael: *Can we also take Friday afternoon off? It's been a busy month.*

Carla: *Absolutely. You've all earned it. Enjoy yourselves. We'll start fresh next week.*

Indulgence



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